

Economic Letter

July/2026



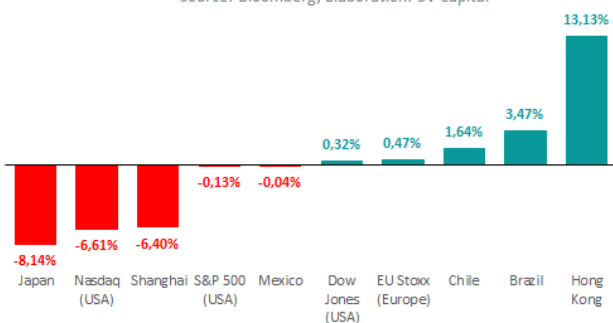
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External Scenario

Volatility defined global markets in July, most visibly in the sharp pullback of the Nasdaq, which came under pressure from doubts about the returns on artificial intelligence investment. There was no single driver in the month, though: war, interest rates and profit-taking in technology took turns setting the direction of prices.

Main Stock Exchanges Performance - July/2026

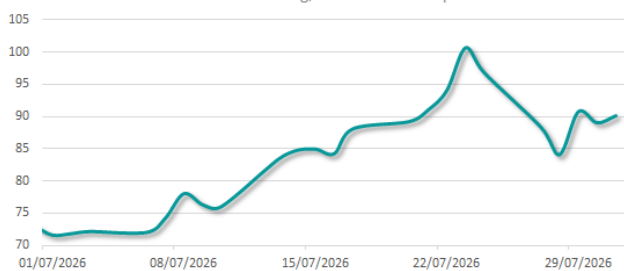
Source: Bloomberg; Elaboration: 3V Capital



Oil returned to the center of attention, but with an important difference. Brent started from the lows of the conflict, pushed past US\$100 in the third week and ended July up more than 20%. What changed the nature of the shock was not just the price but the geography: on top of the already familiar risks around Hormuz came the Houthi offensive in the Red Sea, with two major export routes threatened at once, ships rerouting and the question of insurance and logistics costs back on the table.

Oil Prices (Brent)

Source: Bloomberg; Elaboration: 3V Capital



The escalation moved forward with no apparent plan. In two weeks, Washington proposed and then dropped a toll on cargo passing through Hormuz, imposed a naval blockade on Iranian ports and carried out thirteen straight days of bombing. With Oman back in a mediating role and OPEC+ raising supply, crude gave back part of the premium by month-end, without Hormuz being normalized and with the blockade still in place.

On central banks, the month produced more noise than direction. Warsh stopped offering forward guidance¹, and the July meeting held rates on a split 9 to 3 vote, with some officials already calling for an immediate hike — even though the press conference did not fully confirm the hawkish² read the vote suggested. With no guidance to anchor expectations, the 30-year Treasury³ yield broke above 5.2%, its highest level in almost two decades, on fears of a Fed behind the curve. The ECB and the BoE also held their rates, though in both cases the internal pressure for a hike was out in the open.

30Y US Treasury Yield

Source: Bloomberg; Elaboration: 3V Capital



One notable development involved the Japanese currency. With the yen at four-decade lows, Tokyo intervened to contain the depreciation, and the US Treasury then joined the operation by selling euros to buy yen — the first joint intervention since 2011. Trump confirmed the coordinated action and framed it as a gesture of friendship toward Japan, while Bessent called the yen cheap and its volatility unhealthy. The abrupt appreciation that followed hurt the exporters that dominate the local stock market and helps explain

why the Japanese stock market finished the month at the bottom of the pack.

Looking further out, the signals remain clouded. US inflation surprised to the downside and activity came in weaker than consensus, while oil closed July at a high level and the long end kept testing highs of almost twenty years. As long as the flow through Hormuz and the Red Sea is not restored on a stable basis, crude will keep setting the pace of interest rate expectations. The rotation seen during the month therefore tends to persist in this environment: markets tied to the traditional economy may stay relatively favored, while US technology now has to prove the return on the capital already invested.

¹Forward Guidance: A central bank's forward-looking communication about the likely future path of monetary policy.

²Hawkish: A more restrictive monetary policy stance, favoring higher interest rates or a faster pace of tightening.

³Treasury: A debt security issued by the US Treasury.

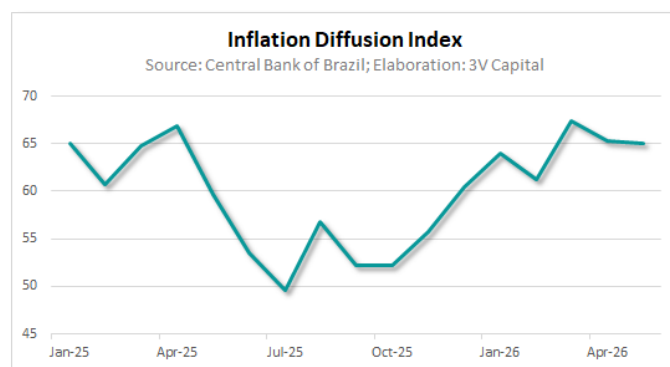
Domestic Scenario

July brought a partial improvement in local assets, though in an environment still sensitive to external, fiscal and electoral noise. Current inflation offered meaningful relief, reinforcing bets on another Selic cut in August, while the signs of a gradual slowdown in activity began to consolidate. At the same time, the US tariff package, the electoral contest and lingering fiscal uncertainty capped any more constructive read, leaving asset pricing heavily dependent on the Central Bank's next signals and on the political backdrop.

The activity data reinforced the sense of a gradual loss of pace, with softening in services and retail. In the labor market, the Caged showed job creation above expectations, but still below the

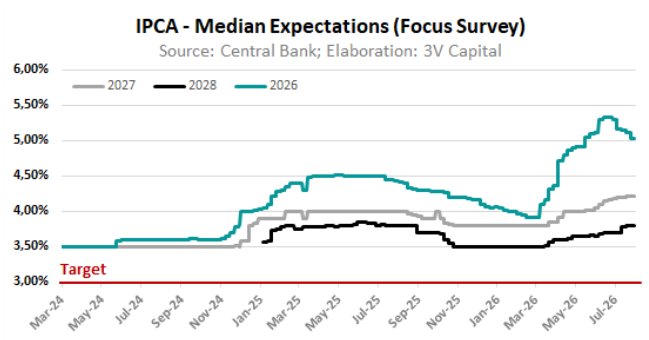
figure recorded in the same month a year earlier and the weakest reading for June since 2020. The prevailing view was that the economy remains resilient, but with increasingly clear signs of moderation, especially in the dynamics of hiring and wages.

On the inflation front, recent indicators brought more favorable readings. June's IPCA surprised to the downside, with the smallest increase for the month in three years, helped by deflation in food and beverages and by a qualitative improvement in the cores, underlying services and the diffusion index⁴. Even so, the trailing 12-month figure stayed above the target ceiling, and expectations for longer horizons remained unanchored. The improvement also showed up in July's IPCA-15, which came in essentially flat and below the bottom of the estimate range, cementing the perception that restrictive monetary policy is starting to produce more visible effects on prices and activity.

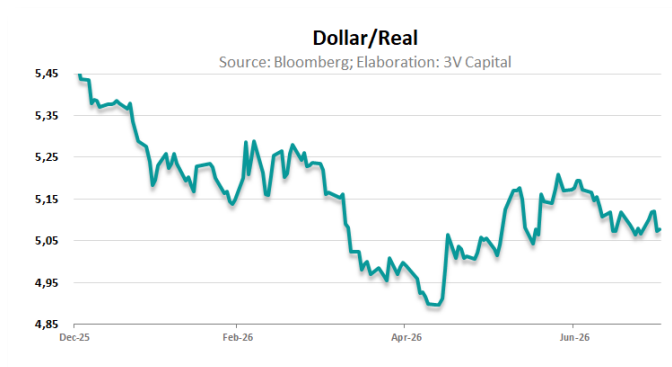


Against this backdrop, the market came to treat the 0.25 pp Selic cut in August as all but locked in, taking the rate to 14.00% per annum. The bigger question, though, was what comes next. While milder current inflation, a well-behaved exchange rate and slowing activity support the continuation of the cycle, a sizable share of economists reckon

the Central Bank will adopt cautious communication and avoid signaling another move in September ahead of time. The debate shifted to a possible "stop and go" strategy, with cuts interspersed with pauses, given the de-anchoring of expectations, fiscal risk and the instability of the external environment.



In assets, the real performed well in July, helped by the combination of a still-attractive carry trade⁵ and improving terms of trade tied to higher oil. Even with higher-for-longer interest rates in the US and domestic risks on the radar, the Brazilian currency ended the month with cumulative gains, supported too by the perception that the Selic easing cycle will be short and cautious. The equity market, in turn, broke a four-month losing streak and rose again, with foreign flows returning and some rotation into markets less tied to the artificial intelligence theme. Even so, the move remains subject to the path of interest rates, to global flows and to electoral risk.



Political news gained prominence. The tariff package confirmed by the US was estimated to have a relatively limited economic impact, especially after the list of exceptions was expanded, but its political effect was more significant. The measure was absorbed into the electoral contest and added to the wear on Flávio Bolsonaro's prospective candidacy, amid the perception that the episode may play into the government's narrative.

On the fiscal side, concerns stayed elevated. The approval of the constitutional amendment (PEC) creating a special retirement scheme for community health and endemic-disease workers reinforced the perception that high-cost measures are advancing in an election year with no clear funding source. In addition, the rise in public debt returned to the spotlight, with gross debt reaching its highest level in more than five years and the average cost of federal debt at its highest since 2016. The combination of high interest rates, fiscal uncertainty and a higher risk premium continues to pressure the government's funding and to limit the room for a structural fall in interest rates.

Looking ahead, the scenario still calls for caution. The recent improvement in inflation and the signs of a gradual slowdown in activity open room for another Selic cut, but they do not remove the

medium-term challenges. The continuation of the cycle will depend on fresh evidence of disinflation, better-anchored expectations and a more favorable reading of the fiscal accounts, in an electoral environment that tends to raise volatility. In this context, preserving the improvement in assets will depend less on the August cut itself and more on the Central Bank's ability to keep its communication credible without compromising the convergence of inflation to the target.

⁴Diffusion Index: The share of IPCA items that rose in the month; the higher it is, the more widespread the inflation.

⁵Carry Trade: A strategy of raising funds in a low-interest-rate currency and investing them in a higher-interest-rate one.

Indicators - returns (%)				
Rate/Index	Jun-26	Jul-26	2026	Last 12 m
CDI	1,12%	1,22%	8,14%	14,71%
Dollar (Ptax-V)	2,37%	-1,92%	-7,73%	-9,37%
Ibovespa	-1,01%	3,47%	10,47%	33,76%
IMA-B	-1,04%	0,97%	5,09%	10,19%
IPCA	0,33%	0,05%	3,42%	4,42%
IRF-M	0,69%	0,85%	5,95%	12,75%
S&P 500	-1,06%	-0,13%	9,41%	18,15%
Euro Stoxx	4,59%	0,47%	9,69%	19,51%
MSCI Emerging	-1,67%	-3,31%	18,62%	34,00%

*IPCA for the month that has just ended refers to ANBIMA's projection

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